Copart (NASDAQ: CPRT) - SHORT

Margin Callers

Horizon: Q1-FY27 through Q2-FY27; planned exit and valuation date mid-Feb 2027 | **Reference price:** $27.29 (10/1/26 close)

Thesis: We are short CPRT because a major insurance-customer loss is creating an FY27 earnings hole that consensus still underestimates. We model **$0.37** Q1 EPS and **$1.45** FY27 EPS ex-ACV versus **$0.41** and **$1.62–$1.65** consensus, with Q1/Q2 earnings as the discovery window.

$23.10 Base-case value (mid-Feb 27) 15.3% stock downside	**$24.52** Probability-weighted value +10.2% expected short return	**$0.37** Q1-FY27E EPS vs $0.41 Zacks	**$1.45** FY27E EPS ex-ACV vs $1.62-$1.65 published	**Mid-Nov** Primary catalyst Q1-FY27 estimate

1. Company Overview

Copart is a global leader in online salvage-vehicle auctions, with 286 operating facilities, more than 4 million vehicles sold annually and approximately 1 million registered members across 185+ countries. Insurers supplied **79%** of vehicles processed in FY26. FY26 revenue was **$4.67bn**, diluted EPS was **$1.55**, and the company ended the year with a net-cash balance sheet.

Scale, salvage-yard density, buyer liquidity and insurer relationships are meaningful competitive strengths. The weakness exposed by Q4 is customer concentration: one carrier loss was large enough to swing domestic insurance assignment growth by nearly 10 points. Our short is therefore not a quality call; it is a timing call on a discrete FY27 earnings hole. Management execution matters primarily through how quickly costs can be resized to the lower volume base.

2. Industry Overview

Copart competes most directly with RB Global's IAA in a scale-driven salvage-auction market. Salvage auction volumes are driven by vehicle miles traveled, accident frequency, total-loss frequency, repair-cost inflation and used-vehicle values. Total-loss frequency remains structurally supportive: management cited a record second-quarter **23.3%** total-loss frequency, with repair costs more than 50% above 2019 levels.

Near term, however, unit mix matters more than the industry backdrop. Copart's Q4 domestic insurance assignments were **-7.5% y/y**; management said they would have been **+2.3%** excluding one lost customer, a **9.8-point** drag. RB Global said incremental volume from its largest automotive-insurance partner had been transitioning over roughly the prior 90 days as of Aug. 4, following expansion to all 50 states. We treat this as corroboration of a transfer, not proof of carrier identity.

3. Investment Thesis

Issue	Street / known view	Our view
Customer loss	Known and described as temporary; further near-term pressure expected	**Full run-rate through Q1-Q3 FY27**: ~13pt drag in base case, of which 9.8pt (~75%) already showed in Q4 FY26
Q1-FY27 EPS	**$0.41** Zacks	**$0.37** (-10%)
FY27 EPS	**$1.62-$1.65** S&P Global / Zacks	**$1.45 ex-ACV** (-10% / -12%); $1.38 including modeled ACV dilution (team estimate)
Recovery	FY27 issues fade; cycle improves	We agree FY28 can normalize; **the mispricing is the FY27 trough**

Why we are different: the lost-customer line in our FY27 bridge is approximately **$0.19/share**; after pricing tailwinds and fixed-cost deleverage, our $1.45 ex-ACV estimate is still **$0.17** below the $1.62 published FY27 consensus. We do not need a permanent business impairment or a large multiple de-rating for the base case to work.

4. Market View

What is already known / widely discussed: the lost customer, near-term margin pressure, an eventual cycle recovery, and the ACV acquisition / near-term integration economics. The stock has already de-rated materially (~18x trailing P/E vs a ~35x 2021-26 median).

What we think is not: consensus still embeds FY27 EPS growth despite the first full-run-rate quarters of the customer loss. Our disagreement is numerical, not narrative.

Why now: Q1 is the first full quarter in which customer-volume loss and cost absorption appear together. Q2 provides a second read and the first GAAP view of ACV (the company guides closing by calendar year-end 2026).

Holding-period discipline: our post-earnings-reaction study (full sample 2004-26, n = 9-22) shows CPRT averaged +4.5% to +6.3% 3-month excess returns after large negative reactions. We therefore target the **Q1/Q2 discovery window**, not a 12-month structural short.

Page 1 sources: Copart FY26 10-K (9/29/26); Copart Q4-FY26 earnings release (SEC 8-K Ex. 99.1) and earnings-call transcript (SEC Schedule TO-C Ex. 99.2); RB Global Q2-26 call (8/4/26); S&P Global MI via StockAnalysis (updated 9/25/26); Zacks (as of 10/1/26; re-verified 10/2/26). SEC accession numbers: model Sources sheet.

Copart (CPRT) - Valuation, Catalysts and Risk

KPI-driven model: U.S. insurance units -> service revenue -> operating income -> EPS -> scenario value.

5. Valuation

We value CPRT at our **planned exit, mid-February 2027** (after Q2 FY27). Year-1 earnings are NTM ex-interest EPS (Q3 FY27 + Q4 FY27 + Q1 FY28 + Q2 FY28); year 2 completes the FY28 recovery. Value is the PV of distributions and a terminal value at a 9.74% cost of equity, plus net cash at that date, so the P/E is an output; the year-1 payout is linked to modeled recovery growth (1 - g1/ROIC) and the normalized payout (1 - g/ROIC) applies thereafter. FY28 EPS = standalone CPRT + an explicit ACV contribution (W2 +$0.02, consistent with FY28 accretion guidance).

Scenario	p	FY27 ex-ACV	FY27 GAAP	FY28 EPS	NTM EPS	P/E	Value	Short rtn.
W1 Loss deepens / costs persist	20%	$1.28	$1.18	$1.33	$1.15	12.2x	$17.34	**+36.5%**
W2 FY27 trough -> FY28 normalizes	**45%**	**$1.45**	**$1.38**	**$1.63**	**$1.40**	**14.2x**	**$23.10**	**+15.3%**
W3 Cycle turns / ACV helps	20%	$1.61	$1.57	$1.92	$1.63	16.3x	$29.78	**-9.1%**
W4 Street right / share recapture	15%	$1.71	$1.66	$1.96	$1.70	16.5x	$31.30	**-14.7%**
Probability-weighted (team scenario probabilities)							**$24.52**	**+10.2%**

Base-case bridge: FY26 EPS $1.55 -> share count / interest / other +$0.01 -> lost-customer impact ($0.19) -> underlying/non-insurance growth +$0.03 -> revenue/unit +$0.10 -> fixed-facility costs ($0.05) = **$1.45 ex-ACV**; modeled ACV (close mid-Q2) brings GAAP EPS to **$1.38**. Key sensitivities: a 10 / 16pt run-rate drag moves W2 value to $23.92 / $22.29; a 0.5pt lower cost of equity cuts the expected short return to +3.3% (1pt: -4.7%). Short returns are gross of borrow, financing and transaction costs.

6. Catalysts

Timing	Event	What changes
Oct 7 / 13	ACV tender / HSR	Tender and regulatory milestones, not a close date; the company guides closing by calendar year-end 2026. Secondary to the ex-ACV thesis.
Early Nov	RB Global Q3	Provides first full-quarter read-through on automotive unit growth following its partner expansion.
Mid-Nov	**CPRT Q1-FY27 (estimated)**	**Primary discovery event:** first full quarter of the customer-volume loss plus OpEx/car and U.S. operating-margin evidence.
Mid-Feb	**CPRT Q2-FY27 (estimated)**	Second full quarter of lost volume and first GAAP read on ACV (model assumes closing during Q2 FY27). **Planned exit and valuation date.**

What must happen: Q1/Q2 need to force a forward-estimate reset. Our Q1 EPS is ~$0.04 below Zacks and our FY27 ex-ACV EPS is ~$0.17-$0.20 below published FY27 consensus.

7. Risks & Mitigants

Risk	Why it matters	Mitigant / monitor
Underlying business offsets the customer loss	Ex-customer Q4 domestic insurance assignments were already +2.3%.	Q1 U.S. insurance units. **Exit if better than -6% y/y.**
Cost cuts protect margins faster than expected	Fast productivity gains would weaken our EPS bridge.	OpEx/car and consolidated operating margin. Exit if consolidated margin >=36% or OpEx/car growth <=+3%.
Rates fall and the multiple expands	CPRT is a high-quality duration asset; valuation is rate-sensitive.	We limit the holding period to Q1/Q2. A 3.5% 10-year stress implies a **47.1%** loss vs 14.7% in W4.
ACV closes late or proves less dilutive	Moves FY27 GAAP EPS by about -$0.01 to +$0.005.	Core thesis is evaluated **ex-ACV**; close timing does not change the mid-Feb value.
Catastrophe volumes obscure the signal	Weather events can temporarily lift salvage volumes.	Use ex-CAT commentary and unit disclosure where available; focus on the underlying insurance run-rate.
Post-earnings rebound after a large negative reaction	Our post-earnings-reaction study shows positive 3-month excess drift after large negative reactions (full sample, n = 9-22).	Do not overstay: target the discovery window and close after Q2.

8. Conclusion

Thesis: Short CPRT through the Q1/Q2 FY27 discovery window: published consensus appears to understate the near-term earnings impact of a large lost insurance customer. **Industry:** salvage-auction fundamentals remain structurally attractive, but near-term share shifts can overwhelm a supportive total-loss backdrop. **Strategy / market view:** we are not underwriting permanent impairment; we expect FY27 estimates to reset before normalization in FY28. Valued at our mid-Feb 2027 exit, the probability-weighted value is **$24.52** (+10.2% expected short return; W2 $23.10), with a 14.7% W4 loss and a 47.1% rate-cut stress loss. **Catalysts:** Q1 and Q2 should reveal the full run-rate unit loss, cost absorption, and initial ACV contribution. **Risk mitigation:** monitor ex-customer unit growth, U.S. margins, OpEx/car, rates and ACV dilution, and exit after Q2 or earlier if our falsification thresholds are breached.

Page 2 sources: Copart/ACV transaction materials and Schedule TO amendments (9/10-10/1/26); Cox Automotive Manheim mid-Sep 2026; U.S. Treasury Daily Par Yield Curve (10/1/26); team model and post-earnings-reaction study. Consensus: S&P Global MI via StockAnalysis and Zacks.